Economics 7950 – Competitive Strategy

Spring 2026

Instructor: John L. Turner
Office: Amos B428A
Office Hours: Mondays 3:30-5:30.
E-mail: jlturner@uga.edu
Class Webpage: https://instruction.terry.uga.edu/jlturner/7950/

Overview: This course applies tools from microeconomics to decision making in environments of strategic interdependence. We begin with a basic foundation in industry analysis, game theory and industrial organization (IO). Next, we illustrate the application of game-theoretic and IO tools to competitive advantage. The remainder of the course will consider business settings with a small number of players, where strategic interdependence shapes the industry. Topics include entry, commitment, price wars, tacit collusion, antitrust and new product introduction. The course will rely heavily on case studies.

No Electronic Device Policy: Laptops and other electronic devices, including (but not limited to) cell phones, are prohibited. Looking at your phone will result in deductions to your participation grade for that day. This course relies on class participation, and electronic devices detract from that learning environment. Academic accommodations are available for students with disabilities. If you have received an accommodation from the DRC, then please let me know.

Grading:

Attendance and Class Participation	20%
Group Case Writeups	40%
New Case	20%
Midterm Exam	20%

Attendance and Participation: You are expected to attend all classes. Acceptable excuses for missing class include illness and other emergencies. I will excuse absences for job interviews or job search related travel no more than *twice*. I will expect advance notice of your absence. Each student is required to bring a name tent to class each day---this will be relaxed once everyone is familiar will each person's name.

You are also expected to participate in class daily. This is key to developing the ability to identify optimal strategies and communicate them persuasively. People who ask and answer questions subject their prior beliefs and knowledge to direct scrutiny, which facilitates learning and growth in confidence. Students are therefore encouraged to ask questions in class (especially clarifying questions!) and should expect to be cold-called with questions from the reading and cases. ***It is particularly important to attend and participate during case discussion days when your group has been assigned the case (see more below).***

Group Case Writeups: Students should form groups of 3-4 people to collectively analyze cases. Each group is required to write up the Tempur-Sealy International case and 3 additional cases (total of 4 cases). Group memos must be no longer than 2 pages and should focus on summarizing the case and addressing specific questions (provided later). Memos may include tables, figures and calculations that do not count against the 2-page limit. Points will be deducted from memos that exceed the 2-page limit. Points will also be deducted from memos that do not clearly indicate which text is answering which question.

Each group member is responsible for all group work that is turned in. In particular, ***any group member may be asked to explain and defend any part of any answer to a case discussion question.*** The ability to do so is a key part of the class participation grade.

Midterm: There will be one in-class midterm exam, ***scheduled for Monday, February 16.***

New Case: Each group is required to develop a new mini-case, based on a current business situation, summarize the strategic elements in writing, and then give a 15-minute presentation of these results. ***Presentations will take place during the final exam period, Monday, May 4, from 12n-3p.*** I do not give makeups for this assignment except in the case of emergencies (e.g., illness or a death in the family). If you are unable to attend this class period due to an emergency, you will need to take a final exam. If you have a known conflict with this time, then you should not take this course.

Discuss relevant news (events, dates, commentary), then offer your own analysis (this is most certainly not an exercise in regurgitating what people already know). Limit your writing to 1000 words or less, and make the style journalistic (e.g., as if it were intended as an article for CNBC.com or similar).

Recent Example Topics: Tiktok-UMG dispute, Kroger-Albertson's merger, Joint Sports Streaming Service, Capital One – Discover merger, Apple antitrust case, Electric Vehicles market dynamics, Microsoft-Intel chip deal, Spirit Air bankruptcy.

Honor Code: Specific to this course, ***You may not discuss cases with people outside of this class, nor may you use analyses written by others (including artificial intelligence).*** For other

aspects of the class, the following is the benchmark. "I will be academically honest in all of my academic work and will not tolerate academic dishonesty of others." A Culture of Honesty, the University's policy and procedures for handling cases of suspected dishonesty, can be found at www.uga.edu/ovpi. Lack of knowledge of the academic honesty policy is not a reasonable explanation for a violation. Questions related to course assignments and the academic honesty policy should be directed to the instructor.

Coursepack: https://hbsp.harvard.edu/import/1369282. This includes the HBS cases that we will cover and one additional reading. This is required.

Textbooks: Besanko, D., Dranove,D., Shanley, M., Schaefer, S. Economics of Strategy. Wiley. Any edition from 4th on is fine, but pay attention to chapter content (editions move the chapters around).

McAfee, P. Competitive Solutions. Princeton U. Press, 2002.

Dixit, A., Skeath, S. Games of Strategy. Norton, 1999, 2004. (OK to skip if comfortable with preparation in Game Theory)

Course Plan:

Note book chapters in parentheses: BDSS – Besanko et al (I use 7th edition for chapters, page numbers… note chapter numbers and page numbers move around across editions), M- McAfee, DS- Dixit and Skeath.

Introduction (first day)

Hand out syllabus, discuss course

Profits and Scale Economies (1)

Economies of Scale and Scope (BDSS 2 "The Horizontal Boundaries of the Firm" especially pp. 55-64)

Industry Analysis (1)

Defining Strategy vs. Operational Effectiveness (Porter, Michael. "What is Strategy?" *Harvard Business Review* November-December 1996, pp. 2-20

Porter's Five Forces (BDSS 8 "Industry Analysis" (entire chapter))

The Value Net (M 2 "Industry Analysis" pp. 24-27)

Game Theory Fundamentals (5-6 classes)

Rules (DS 2, BDSS "Economics Primer" pp. 29-33),
Simultaneous Move Games (DS 4)
Sequential Move Games, Bargaining (DS 3, M 14 "Bargaining" (entire chapter))
The Holdup Problem (BDSS 3 "The Vertical Boundaries of the Firm" pp. 110-17)
Mixed Strategies + Repeated Games (DS 5)
Case: Tempur Sealy International (A) (HBS 9-718-422)

Market Power (3)

The Card Game
Price Discrimination, Bundling, Yield Management (M 11 "Pricing" (entire chapter))
Two-Sided Markets
Case: Power Play: Nintendo in 8-bit Video Games (HBS 9-795-102)

Rivalry (2)

Output Competition (Cournot), Price Competition (Bertrand)
(BDSS 5 "Competitors and Competition" (entire chapter))
Horizontal and Vertical Differentiation (M 4 "Differentiation")

Competitive Advantage (3)

INITIAL READING:

Ghemawat, Pankaj and Jan Rivkin. "Competitive Advantage," Harvard Business Publishing, 2014.

LECTURE:

Cost and Differentiation Strategies (BDSS 9 "Strategic Positioning for Competitive Advantage" (entire chapter))

Case: Hurtigruten (HBS 5-721-360)

Entry and Exit (2-3)

Barriers to Entry (BDSS 6 "Entry and Exit" (entire chapter))
Deterrence, Judo Entry
Case: Ryan Air (HBS 700-115)

Commitment (2-3)

Credibility, Threats (BDSS 7 "Dynamics: Competing Across Time" pp. 214-225, Dixit-Nalebuff Handout)
Wars of Attrition (M 14 "Bargaining" pp. 357-60)
Case: Sky Television (HBS 794-031)

Price Wars, Tacit Collusion, Antitrust (4)

Dynamic Rivalry (BDSS 7 "Dynamics: Competing Across Time" pp. 225-241, M 6, M 9)
Trigger Strategies, Mergers, Foreclosure
Case: GE-Westinghouse (HBS 9-380-128)

Innovation (2)

R&D Races, Intellectual Property, Imitation (BDSS 11 "Sustaining Competitive Advantage" entire chapter)
Case: Randy Hetrick and TRX: Protecting Intellectual Property Rights (A) (SCG549)

Conclusion

make up day

- *The course syllabus is a general plan for the course; deviations announced to the class by the instructor may be necessary.*
- *UGA Well-being Resources promote student success by cultivating a culture that supports a more active, healthy, and engaged student community.*

  Anyone needing assistance is encouraged to contact Student Care & Outreach (SCO) in the Division of Student Affairs at 706-542-8479 or visit sco.uga.edu. Student Care & Outreach helps students navigate difficult circumstances by connecting them with the most appropriate resources or services. They also administer the Embark@UGA program which supports students experiencing, or who have experienced, homelessness, foster care, or housing insecurity.

UGA provides both clinical and non-clinical options to support student well-being and mental health, any time, any place. Whether on campus, or studying from home or abroad, UGA Well-being Resources are here to help.

- Well-being Resources: well-being.uga.edu
- Student Care and Outreach: sco.uga.edu
- University Health Center: healthcenter.uga.edu
- Counseling and Psychiatric Services: caps.uga.edu or CAPS 24/7 crisis support at 706-542-2273
- Health Promotion/ Fontaine Center: healthpromotion.uga.edu
- Disability Resource Center and Testing Services: drc.uga.edu

- *Additional information, including free digital well-being resources, can be accessed through the UGA app or by visiting https://well-being.uga.edu*